doctors, engineers, lawyers, accountants where education is just a private good).

Subsidies can be unconnected to externalities; they can be pure redistribution.

All these kinds of expenditures require the authorization of the legislature in the form of the Finance Act.

In many fields, we see three pillars of intervention: production (e.g., government running schools), regulating (e.g., government regulating private schools) and financing (e.g., government paying kids to attend private schools). These flow from the limited toolkit of intervention.

Summing up

The state can demand certain behaviour, and threaten violence against private persons who refuse to comply.

The state can demand tax payments from the populace, backed by threats of violence against people who do not comply. The tax rates can vary based on the situation. Private persons overproduce things that impose negative externalities (such as pollution) and underproduce things that impose positive externalities; modifications to tax rates can help improve the outcome.

The state can choose to spend tax revenues in two ways. It can run state organizations such as the police, which produce certain public goods. Or, it can transfer money to private persons. These transfers can be linked to market failure (e.g., using education vouchers to address the externalities in education) or they can be pure redistribution.

The world of public policy is about these three levers: rules about behaviour, taxation, and spending money. These are generally grounded in laws that define the behaviour of government. Taxation and expenditure programmes are spelled out in the Finance Act, which constitutes the budget of each year. The Indian government often produces ‘policy’ documents which do not mean too much.